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KONGZHONG: GROWTH IN A DYNAMIC ENVIRONMENT

KongZhong's cofounder Nick Yang looked out the window as the airplane began descending to the J.F.K Airport. He could clearly see the Manhattan skyline out in the distance. It appeared to be a typically warm June day in New York City, which reminded him that the summer of 2004 was just around the corner, and that KongZhong had to complete its IPO before then. The NASDAQ had taken a plunge that week, following several blue-chip technology companies' earnings announcements. Most fund managers were wary of investing in new technology stocks, creating a particularly challenging scenario for an IPO road show. As Yang thought about pitching for his China-based technology company's public offering, he turned to its CEO Zhou Yunfan, who was sitting next to him, and reminded him of the day they cancelled the public offering plans for their prior company, ChinaRen, in lieu of a strategic acquisition offer. "Most of our current team lived through that experience with us," remarked Yang. "Hard to believe that took place four years ago—so much has changed in China's business and regulatory environment since then." The flight attendant made the first pre-landing announcement, bringing Yang's attention back to the aerial view of New York, and his mind back to the road show ahead of them. He checked his seat belt once again and took a long, deep breath.

A PRELUDE TO KONGZHONG

Founders' Backgrounds

Born in the western Chinese province of Shaanxi, Nick Yang came to the United States for his university education. He graduated from the University of Michigan, before moving to California in 1997 to obtain his Master's degree in Electrical Engineering at Stanford University. He was compelled to try to understand how so many well-known technology companies in the

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region had succeeded, and took elective entrepreneurship classes at the Stanford Graduate School of Business (GSB) in 1998 and 1999.

One class called *Formation of New Ventures* had been particularly inspiring to Yang: “Guest speaker Jeff Skoll mentioned how the key factor in his entrepreneurial success at e-Bay was determination, even beyond academic ability. That was particularly enlightening to me. Most professionals in China believed that technical capabilities were most valuable for nearly all career paths.”¹

Yang began discussing entrepreneurial opportunities with his two friends Zhou Yunfan and Joseph Chen on a weekly basis at Tresidder, Stanford’s main student cafeteria. Yunfan had graduated from Tsinghua University with honors. While still at school in 1996, at 21 years of age, he had already launched an Internet site called the Hope Project, for the China Education Research Network. In the Spring of 1997 he went to Stanford, to obtain his Master’s degree in Electrical Engineering. Yang and Yunfan became close friends after choosing to work as partners in their first class project at Stanford. Joseph Chen, a Chinese American, had previously completed his undergraduate studies at MIT, and went to the Stanford Graduate School of Business (GSB) to obtain his MBA degree. During a social event organized by Stanford’s Chinese Student Association in early 1997, he crossed paths with Yang and Yunfan. Finding a keen alignment of goals, the three entrepreneurs decided to try to launch a company together. After being inspired by business professionals they met during two week-long trips to China, the trio decided to start a company offering an online community site, catering to the Chinese market.

Start-up of ChinaRen

Yang and his two peers started incubating their start-up even before graduating in 1999. He reflected upon his team’s first challenge—fundraising for their venture:

China did not have a well-established investment community, particularly for the seed stage of investment. Domestic investors for the most part did not appreciate tiered investment structures, and sought control positions with greater appetite for dividends than for an eventual exit. Entrepreneurs were left with few funding options.

During that time the entry of foreign venture capital into China was handicapped by a lack of clarity around corporate structures that would enable investors to realize returns through exits. Knowledgeable of China’s difficult fundraising environment, they decided to raise their initial \$250,000 in seed funding from their Stanford classmates. They rapidly accomplished their funding goal, and incorporated their start-up in April of 1999, and chose the name ChinaRen for their nascent company.

¹ Interviews with President/CTO Nick Yang in October 10, 2006, October 30, 2006, December 18, 2006, February 12, 2007, and March 1, 2007. Subsequent quotations are from the author’s interviews unless otherwise noted, including: October 16, 2006 interview with Investor Relations Director Jillian Wang, and November 14, 2006 interview with VP of Marketing Mike Fang.

Yang took ChinaRen's business plan back to China, where he immediately began seeking to hire top-notch professionals. The shortage of qualified mid- and high-level managers was a key issue, since China's government had historically encouraged the highest-qualified college graduates to follow technical careers. Furthermore, the supply of qualified senior-level managers was reduced by the fact that most of the universities in the country had been closed during China's 1966–76 Cultural Revolution.

After much effort and knocking on doors of residences at China's top computer science university—Tsinghua University—ChinaRen's founders built a team of 40 young employees (some of which were still attending classes and working part-time). Yang recalls: "Attracting the best graduates was an uphill battle. None of them found working for a small startup company appealing, and even less to work for stock options."

After the first few months of operations, ChinaRen successfully delivered upon its plan to launch a consumer-focused Internet site, forming one of the first online communities in China. Chinese societies were closely knit and alumni connections highly treasured, allowing ChinaRen to rapidly build an online community for university graduates in China. The company acquired another round of funding from international investors KKR and Goldman Sachs, who pushed the company to accelerate growth even further. Only one year from founding the company, Yang realized that they had the opportunity to take the company public.

In September of 2000, as Yang began approaching banks to discuss of ChinaRen's potential IPO, the global Internet stock market crashed and abruptly closed the public market exit window. ChinaRen was not yet profitable, and had to rapidly seek an exit in order to survive. Sohu, one of the leading Internet portals in the People's Republic of China at the time, offered to acquire it. With a market capitalization of over \$200 million at the time, Sohu offered an online directory listing, 15 content channels, and online community services for the Chinese market. Sohu had gone public two months earlier (symbol: SOHU), and offered to acquire ChinaRen for \$23 million in cash. Yang noted: "That was certainly a very good pay-out for a company we started less than one year earlier. Goldman Sachs advised us to do an all-equity transaction, which we ultimately agreed to." After the acquisition Yang took on the role of Sohu's VP of Technology, while Yunfan became VP of operations, assuming the responsibility of heading the combined entity's content operations.

The Genesis of KongZhong

In March of 2001 the options of ChinaRen's former founding team depreciated substantially, as Sohu's stock price slumped, together with the U.S. technology stock market. Sohu's stock price fell from \$14 per share at the time when Sohu first approached ChinaRen, to \$7 at the time of the acquisition, to \$1 soon thereafter. ChinaRen's founding team began reconsidering their positions at Sohu, as their stock options went 'underwater' and no longer provided significant incentives. Furthermore, Sohu's position in the mature Internet industry appealed less to the founding team than the incipient and fast-growing wireless value-added services industry.

In early 2002, Yang and Yunfan began talking about opportunities emerging from the growth of mobile phones in China, accumulating over 100 million subscribers that year. They both saw the opportunity to empower mobile phone users with innovative data applications such as ring tones

and text messages, generally called Wireless Value Added Services (WVAS). The WVAS model showed more monetization opportunities than PC Internet services. They also believed that mobile Internet and WVAS market was about to undergo explosive growth in China, given the high potential for penetration of mobile phones, versus the PC-based platform. That notion drove them to think about launching another consumer technology startup.

The two cofounders knew that the former ChinaRen team members had accumulated an intimate understanding of consumer digital media, and were in a prime position to capture the WVAS opportunity. Yunfan explained his perspective: “We were confident that our next enterprise would be something even more successful. Our three years at ChinaRen and Sohu gave us domain knowledge, experience with the ups and downs of Internet startups, and an awareness of how we could become more effective managers.”

In March of 2002 Yang and Yunfan left Sohu along with 10 of their former ChinaRen founding team members, to begin a new startup they called KongZhong. The former founding team was glad to leave Sohu, since they felt it had not effectively captured the value they had built after the acquisition. ChinaRen’s founders sold their Sohu stock for \$1 per share, and other employees left without exercising their \$3 stock options. Most of proceeds were reinvested in the new startup, which was officially launched in May 6, 2002.

Yunfan described KongZhong’s goal as “promoting information and entertainment through cellular phones, making them a crucial part of the Chinese people’s everyday life style.” They saw the opportunity to introduce innovative WVAS services to mobile phone subscribers in China, including: (a) entertainment services—games, pictures, ring tones, wallpaper, electronic books; (b) community services—chat, photo albums, dating services; and (c) news media.

Yang noted: “KongZhong’s WVAS value proposition resembled that of ChinaRen, with two important differences. The first one is that we now develop applications for the mobile, rather than for the PC-based Internet platform. Secondly, KongZhong’s business model works through mobile carriers, whereas ChinaRen dealt directly with consumers.” KongZhong’s main value-adds were: (a) understanding mobile subscriber’s service needs, (b) identifying and developing content that people wanted to ‘consume’ through the mobile platform, (c) developing mobile applications and formatting content for that medium, (d) arranging distribution agreements, (e) supporting operations and customer support, and (f) billing consumers for services rendered.

In 2002 the market had approximately 100 small WVAS players and three sizeable ones: Linktone, Hurray, and Tom Online. Yang commented: “The industry was so early-stage that we were not worried about having to catch up with the existing players. We knew that in the end execution would make all the difference.”

Having built relationships with various U.S.-based investors during his ChinaRen and Sohu years, Yang managed to rapidly obtain funding for his new startup. KongZhong obtained a first round of \$3 million from Draper Fisher Jurvetson at a \$6 million pre-money valuation. Yang began his tenure as the company’s president, chief technology officer and board member, while Yunfan held the role of CEO and chairman of the board.

KongZhong: Team and Culture

In order to deliver on KongZhong's mission, Yang and Yunfan sought to hire a top-quality team, and to build the company's culture around seven principles:²

- **Ambition:** Culture of consistently challenging oneself, seeking to surpass competitors.
- **Credit:** Bring value and be accountable to the company's subscribers, employees, partners, shareholders, and society as a whole.
- **Teamwork:** Constantly enhance the company's efficiency, ability to work together, and competitive advantage by hiring top-notch employees.
- **Innovation:** Company will guarantee its long-term success by consistently innovating.
- **Execution:** KongZhong's success will hinge upon each team member's level of commitment to performing at his or her utmost potential.
- **Perseverance:** No difficulty, crisis, setback or failure should avert the company's goals, but rather strengthen our team's unswerving dedication and efforts.
- **Glory:** Our innovation and perseverance will drive us to one Chinese glory after another.

During KongZhong's start up phase, the stock price of the team's former parent, Sohu, rose from low single-digits to \$40 (see **Exhibit 1** for Sohu's stock prices). Yang noted:

KongZhong's founding team members felt they had 'jumped ship' at a bad time, as they observed their former peers becoming rich overnight. That caused much frustration but it also gave us a different type of motivation—establishing a culture that was very hard-working and driven from the onset.

The WVAS Value Chain

The WVAS service value chain consisted of four constituents:

- *Handset Users:* Use basic mobile service and WVAS services; pay carrier for all services.
- *Mobile Carriers:* Offer basic mobile communications service to end users; enable and distribute mobile handsets; distribute and bill for WVAS services from end users.
- *WVAS Service Providers:* develop WVAS services; convert content into mobile format; distribute services through mobile carriers; pay 'revenue share' to content providers, carriers, and handset manufacturers.
- *Content Companies:* provide content to WVAS providers in exchange for content fees.

WVAS services were split into commercial and personal (person-to-person) applications, with the latter corresponding to roughly 80 percent of the total market³ and being distributed entirely through mobile carriers.

In 2002, nearly all WVAS companies 'white labeled' their services, leaving mobile carriers to brand and market services to consumers. The totality of WVAS company's revenues came from service distribution through mobile carriers. Prices charged to consumers included a monthly subscription fee of \$0.25 to \$2.50 for each type of service contracted, plus per-transaction fees of

² KongZhong press release, "KongZhong: From Black Horse to Winged Steed," January 2005.

\$0.01 to \$0.50 for most services³ (see **Exhibit 2** for a description of WVAS services). In 2002 mobile carriers in China had implemented technological infrastructure that allowed the deployment of basic WVAS services, such as short messaging (SMS) and ring tones. Carriers were already in the process of upgrading their infrastructures to enable additional services through mobile phones such as music, pictures, movies, and search tools.

Besides adding value and revenue to the mobile carrier industry, WVAS companies also solved broader problems in other industries. They provided consumer product companies with a new channel to reach Chinese consumers—one that was more ubiquitous and far-reaching than most other channels. WVAS companies played an important role in the launch and marketing of movies such as ‘Hero,’ for instance, by using the mobile medium to concurrently advertise and offer related games to consumers. Secondly, it provided content companies with new distribution, while protecting music labels’ intellectual property rights and reformatting their content—ring tones and music clips—for mobile phones. (See **Exhibit 3** for WVAS value chain at the time.)

GROWTH IN A FAST-CHANGING ENVIRONMENT

Early Evolution of WVAS Market

The wireless phone market in China continued growing at an explosive rate. The number of subscribers had doubled in one year, reaching 206 million by the end of 2002⁴—surpassing the number of Internet (52 million), cable television (100 million), and nearing the number of fixed-line phone (214 million) subscribers that year.

The usage of mobile phones for Wireless Value Added Services (WVAS) evolved more quickly in China and Southeast Asia than in developed markets, given a scarcer availability of information services and a higher consumer willingness to experiment with new products. Around 25 percent of the largest Chinese carrier’s revenues came from WVAS services, as compared to 13 percent of revenues of Cingular Wireless, the largest U.S. carrier. “The idea that the mobile phone should be a one-stop shop of digital services was universally shared in Asia.”⁵

The Chinese WVAS industry averaged 15 percent revenue growth in 2003,³ and remained a highly dynamic market, given constantly changing technologies. The market flourished at an unimpeded growth rate, as mobile carriers and the government tried to ‘catch up’ and implement consumer protection and regulatory policies. Pure-play WVAS providers KongZhong, Tom Online, Linktone, and Hurray continued to grow. However low barriers to entry kept the industry highly fragmented—with over 500 WVAS companies already operating, and allowing the entry of different types of competitors such as Internet companies (Sina, Sohu.com and Tencent), digital media/content companies, and PC game development companies.

³ Kit Low, James Mitchell, and Ada Ho, “China Wireless Value Added Services,” *Goldman Sachs Global Investment Research*, June 21, 2006. Converted currency from China Yuan Renminbi, at 8.28 Rmb/US\$ rate.

⁴ The Economist Intelligence Unit, “Country Profile: China,” p. 30, <http://www.eiu.com> (January 2007).

⁵ Brian Bremner, “Asia’s Mobile Mashup Free-For-All,” *BusinessWeek Asia*, November 13, 2006.

By 2003 KongZhong had established itself as one of the WVAS market leaders, generating \$7.8 million in revenues, 70 percent gross margins, and 30 percent net income. Having grown from 10 to 400 employees, it moved from its small office space in the Yuetan neighborhood in Beijing to three full floors of the Tengda Tower, in the Haidian District.

China's New Business Environment

In 2002, the business environment in China was different from the one in 1999, when Yang, Chen, and Yunfan had founded ChinaRen. Government incentives, capital availability, business partners, and the recruiting environment were undergoing significant changes, which brought about a different set of challenges to startups.

Firstly, new government incentives for the China information technology (IT) market led to an unprecedented level of entrepreneurial activity in the country, starting in 2001. After analyzing India's successful development into a global software development center, in early 2000 the Chinese government designated that IT was a key priority for the country. Incentives were offered for domestic technology companies, including a tax break of 15–25 percent, effective through 2010. According to the U.S. Department of Trade:⁶ “The Chinese government [was] very supportive of developing China's information industry and addressed this development for the first time in its Tenth Five Year Plan (2001–2005). The plan included proposals to accelerate electronic commerce development and promote the use of information technology. ... The plan also called for reform of state-owned enterprises, promotion of science and technology research, promotion of the development of the software and integrated circuit industries, and the improvement of China's information infrastructure.”

Secondly, government regulations implemented in July of 2002 allowed foreign-owned investors to be legally established in China,⁷ increasing foreign investors' commitments to the region.⁸ Yang noted:

As we began raising KongZhong's first round of funding, we noticed how our experience of having worked with ChinaRen's investors Goldman Sachs and KKR mattered to venture capitalists. China's new regulations spurred a new wave of startups. Entrepreneurs found a friendlier environment to get funded, and managed to do so even without having operating experience.

Yang noticed how other aspects of the entrepreneurial ecosphere in China were perceptibly different, since he cofounded ChinaRen:

It became easier to find partners with relevant international experience, such as banks and law firms. With more well-funded startups emerging, attracting talent

⁶ U.S. Department of Commerce, “Export IT China: Telecommunications and Information Technology Market Opportunities for Small and Medium-Sized Enterprises,” www.export.gov/infotech, April 6, 2004.

⁷ William Barnett, Peter Lorentzen, “The Environment for Entrepreneurship in China,” Stanford University, November 2002.

⁸ Note: By 2004, Foreign Direct Investment committed to China increased to \$153.5 billion, nearly a fourfold increase as compared to 1999. Source: China's Ministry of Commerce, U.S.-China Business Council, “FDI in China,” January 2005.

also became more competitive than it had been earlier, increasing executives' salaries and reducing comparative cost advantages that we had earlier. Some companies had gone public or been acquired, creating personal financial success stories that had much visibility in the media. Employees were more enticed by the concept of entrepreneurship and by the thought of working for a small company. Our 10 percent stock option pool, which again followed Silicon Valley standards, this time was more attractive to KongZhong's employees than it had been to ChinaRen's.

Lastly and perhaps most importantly, significant regulatory changes facilitated foreign firms to invest in Chinese technology companies. The introduction of Wholly Owned Foreign Enterprises (WOFEs) with offshore capital structures in 1996 enabled investors to realize exits from their investments. By 2002 the offshore WOFE model matured and became widely accepted in China, igniting the country's entrepreneurial environment (see **Exhibit 4**).

Yang explained that although ChinaRen had a similar corporate structure as that of KongZhong (see **Exhibit 5**), the former accompanied a substantially higher risk because regulations were loosely defined and in 1999 few technology companies in China were using it.

A NEW GROWTH PHASE

Race to the Public Market

KongZhong grew rapidly during its first years, fueled by the rapid penetration of mobile phones in China. In four years, the number of mobile users in China grew from 10 million to 400 million. By early 2004, two years after launching the company, Yang and Yunfan started to gradually prepare for an IPO. On February 17, 2004, competitor Linktone unexpectedly filed to go public on the NASDAQ stock exchange, which led them to rethink their plan:

Linktone's announcement really made us stop and think. We realized that in our market you either become a consolidator, or become 'consolidated.' The only path we saw to becoming a consolidator was by going public, since that would provide us with the necessary capital to acquire other companies. Another consideration was that the market could only bear a few companies going public, in the same industry. Metaphorically, Linktone's IPO was the start of a race with our competitors, towards an IPO.

Tom Online and other WVAS companies had been preparing for their IPOs for over one year, and the window of opportunity to go public appeared to be closing (see **Exhibit 6** for China technology company IPOs until then). Yang explained: "The target funds were the same, so they would have to explain how their company was unique in comparison with two, three, or more competitors." Although KongZhong's founders did not feel the company was entirely ready, they decided that an IPO would likely maximize growth and shareholder value.

Preparing for the IPO

KongZhong's founders expedited the process of hiring Richard Wei, a CFO they had already begun interviewing as a solid candidate to help them with the IPO. Wei had obtained his MBA degree from Cornell and had worked at IBM, Morgan Stanley, Lehman Brothers, and Harvard Business School. He joined KongZhong at the end of February, bringing in the rare experience of having taken another China-based company public in the U.S. stock market, as CFO of semiconductor testing services provider ASE Test, from 2000 to 2002.

Senior Vice President of Finance Jillian Wang and CFO Richard Wei discussed KongZhong's IPO plans with the company's founders, and decided to hire UBS to underwrite its offering, and to go public in the NASDAQ. Wang explained: "Hong Kong fund managers are more familiar with the Chinese market than their U.S. counterparts, and have a lower inclination to over-reacting. However being publicly traded in the U.S. is perceived as highly prestigious in China, and the NASDAQ is the world's largest and most liquid stock market."

KongZhong began working on its IPO on March 1, 2004, three days before Linktone made its public offering for \$86 million. Its finance and legal teams began working around the clock for weeks at a time, and after three rounds of revisions KongZhong was finally approved by the SEC in early June, 2004.

A Rocky Road Show

Later that month Yang, Yunfan, Wang, and Wei embarked on KongZhong's road show trip. The team first presented to banks in Hong Kong, Singapore and London, and then went to the three main cities in the U.S.: New York, San Francisco and Chicago. Jillian Wang commented on the experience: "Investors were mostly concerned with rapidly changing regulations in China, which had not always been very predictable. Some of them also seemed to be confused by the fact that KongZhong did not have a comparable company in the U.S. domestic market."

The company also dealt with concerns regarding intellectual property (IP), during the road show. China was known for widespread IP infringement, with software piracy rates as high as 92 percent.⁹ Chinese technology companies found it difficult to obtain remedies from IP infringement, and had to convince investors that they had different types of competitive advantages. Yang observed:

A technology-based company's ability to innovate in China is only relevant to the extent that it can capture that value by rapidly rolling out, and continuing to innovate. Our execution capabilities are our competitive advantage, which we achieve by hiring a top-notch team and creating a culture that fosters entrepreneurial initiative. Our track record speaks to that. One example was how our team negotiated and delivered the company's first product to China Mobile. Within only two months of the founding of KongZhong in 2002, we became the first WVAS company to implement chat and game products that ran on top of China Mobile's new infrastructure.

⁹ Business Software Alliance, 2005, <http://www.bsa.org> (December 14, 2006).

By the U.S. portion of the road show, investors appeared to be assured of the success of KongZhong's public offering. As the IPO team landed at the J.F.K. Airport, though, they encountered the unexpected surprise of finding the U.S. stock market 'on edge' due to the lackluster performance of major technology companies. Concerned that the funds visited in Asia and Europe might change their minds before the final listing, KongZhong's team added a third week to the road show, to include secondary cities such as Minnesota. Yang commented: "On one side of the table were fund managers—describing a grim stock market outlook. We were on the other, preparing for our IPO. We did a concerted effort to 'sell hard' to U.S. funds—through the very last meeting. Our determination probably came through to investors during the road show. We finally celebrated our IPO in July 9, 2004, completing the entire process in just four months."

Managing a U.S.-Listed Company from China

The most immediate effect of KongZhong's IPO was that some of its competitors aborted their plans to go public. One example was MTone, which officially cancelled its IPO in August 13, 2004. KongZhong was more directly affected by two implications of having gone public: an increased legal exposure, and the need to develop a structure to comply with the requirements of being a publicly traded company.

KongZhong's stock took an immediate slump after the company's IPO. Blue chip technology companies missed their numbers, causing technology stocks to tank even further. On July 19, 2004, Yahoo's stock dropped by 22 percent. On July 30, 2004, new terrorist threats to the U.S. made stock markets drop even further. Yang commented: "We faced an initial period, after taking KongZhong public, when stock prices were systemically volatile and investors were very sensitive to almost any news. We felt greater public scrutiny than we had expected, but had no option but to work diligently and accomplish all of our targets."

KongZhong's investor relations team faced the ongoing challenge of explaining the particularities of China's legal environment to U.S.-based investors. Since KongZhong was traded in the NASDAQ, Yang felt that many investors held a U.S. market bias:

Initially, many investors assumed that the Chinese telecom market would follow trends that took place in the U.S. years earlier. However we believe that the Chinese WVAS market is leading the global discovery of the next generation of wireless applications. China has demonstrated a higher degree of service innovation and has a volume advantage—over three times the U.S. subscriber base.

Eventually, market analysts began perceiving China's WVAS market as an indication of how the convergence of Internet and mobile phone platforms would play out.¹⁰ Innovative applications were enabling consumers to 'mash-up' data and media from disparate sources. WVAS companies in China were empowering consumers through the mobile platform, to an extent similar to what consumers in the United States were doing through the PC-based platform.¹⁰

¹⁰ Brian Bremner, op. cit.

Two Years of Fast Growth

By the end of 2006 KongZhong had followed a consistent growth trajectory. It had reached 106.8 million in revenues that year, representing a 37 percent increase from the previous year. With \$24.2 million in EBITDA that year, KongZhong managed to keep an average market capitalization of \$143 million during the fourth quarter of 2006, in spite of the public market's adjustment for China-based companies during that period.¹¹ (See **Exhibit 7** for the company's financials and stock price evolution.) Approximately half of the company's revenues came from entertainment-related services such as games, pictures, ringtones, wallpaper, and electronic books. The remainder was evenly split between news media services and community services such as chats, photo albums, and dating services.

KongZhong grew by investing in aggressive strategic initiatives, including partnerships, acquisitions, and direct-to-consumer branding efforts.

- *Partnerships with content companies:* KongZhong strengthened strategic partnerships with major game and media companies, including Namco (Japan), Olarks (South Korea), Gameloft (France), Macrospace (U.K.), and Disney (United States). It also obtained exclusive rights to launch promotions and mobile games for the movies: *Hero*, *Green Tea*, *The Lord of the Rings*, and *Kung-Fu Hustle*.
- *Partnerships with handset manufacturers:* KongZhong developed agreements with handset manufacturers in order to maximize customer acquisition, given consumers' difficulty in entering URL addresses through a limited keyboard and small screen. These partnerships shed 10 percent from KongZhong's revenues, yet made their services easily accessible from the mobile phones' original user interfaces. By 2005 KongZhong had such partnerships with Motorola, Ningbo Bird, Samsung, and Panasonic, while Tom Online did with Nokia, Samsung, Motorola, TCL, and Lenovo.
- *Consumer Brands:* KongZhong launched new branded product lines to strengthen its relation with consumers. In 2005, Kong.net inaugurated five mobile phone brands¹² around its offerings: (a) KongZhong Media: service brand integrating SMS, MMS, and WAP services; (b) Mammoth World: cell phone games; (c) KongZhong Child: fixed-line telephone voice services for children; (d) Non-Stop Mix: cell phone chatting and friend-making community; (e) K Ring Manufacturing: self-made brand with music contents
- *Mergers & Acquisitions:* KongZhong acquired Tianjin Mammoth and Beijing Wireless Interactive Technology Company in 2005, and Sharp Edge Group Limited in the following year. In May of 2006, KongZhong also developed strategic partnerships with B2C service provider Dangdang, real estate information provider Soufun.com, financial portal He Xun, and IT product information provider eNet.

¹¹ SEC Filings, KongZhong's 10K Form, December 2006.

¹² Dong Xiaochang, "Kong.net: Return of Money Burner – Could the huge investment in wireless Internet help Kong.net prevent the doomed fate of SP?," *China Internet Weekly*, June 2006.

Cultural Success Factors

As KongZhong surpassed the \$100 million revenue mark, its managers had become distinctly aware of the cultural issues—within and beyond China—that were critical to its success.

With approximately the same geographic area as the United States and over four times its population, China had remarkably heterogeneous regions, in part due to the population's limited regional mobility during the country's recent history.

KongZhong had five major regional divisions: Northeastern, Northern, Eastern, Central, and Western, with 180 employees working outside of its Beijing home city. Sixty of them worked in product development out of coastal city Tianjin, a two-hour drive from Beijing, since KongZhong's May 13, 2005 acquisition of mobile game company Tianjin Mammoth. The other 120 worked in sales and marketing functions, at offices located in each of China's 22 provinces (all except for Tibet, which was covered from Sichuan). Employees at the provinces handled business development with the regional subsidiaries of mobile carriers, as well as local distribution and marketing efforts. Each office outside of Beijing had between 1 and 15 employees, depending on the population and business volume within the province. Finding the right marketing and distribution partnerships and hiring the right people to run each office was particularly challenging. Yang described:

The more remote provinces feel like foreign countries to me. People there eat, talk, think, and even look different. We do extremely well in some regions, and not so well in others. Initially we sent people from Beijing to manage our remote offices, but that did not work well. Finding professionals with the right skill set and level of commitment was difficult—especially at remote locations where it is harder to oversee recruiting activities and to verify candidates' references.

The fact that KongZhong's employees and customers lived in a different country than its investors forced the organization to deal effectively with both U.S. and Chinese cultures. Yang and Yunfan found that two cultural differences affected their management the most:

- *Employee motivation and competitiveness*: China's communist system evolved significantly over the last decade. The old planned economy provided very weak incentives for employees, with minimum effort often being sufficient to guarantee lifetime employment.¹³ As much as this helped influence the country's working culture, Chinese people have recently demonstrated a degree of natural competitiveness and ambition that some claim had been suppressed—hence the term 'awakening lion.' Yang explained: "Our pre-communist history shows that people here are naturally entrepreneurial. Chinese people are more driven by financial success than by quality of living, and prefer to be their own bosses if they can do it. For example instead of 'happy new year' we say 'gong xi fa cai,' which means 'wish you become rich.' The downside of such competitiveness is that people's ambition sometimes overrides their professionalism, as many people 'jump ship' to work for a competitor without hesitating. However this is being counterbalanced by the significant current influx of foreign-educated diaspora that is returning to China."

¹³ Andrew Walder, "Communist Neo-traditionalism," *Berkeley: University of California Press*, 1986.

- *Inter-personal relationships*: Over thousands of years, Confucianism and Buddhism helped shape a Chinese traditional culture that emphasized proper behavior and etiquette, and a strong respect for social hierarchy. This drove professionals to avoid behaviors that might be considered normal in western societies, such as engaging in constructive debates with managers and developing detailed formal contracts. A precise following of rules is often of lesser importance than maintaining an ongoing relationship with others, and allowing managers to ‘save face’ in meetings.¹⁴ Considered to be one of the central concepts behind Chinese society, the term *guanxi* describes “the complex, interdependent relationships that exist between two or more parties.”¹⁵ *Guanxi* was particularly important to KongZhong because dealing with state-owned enterprises—mobile carriers—was critical to its success. As soon as incumbent China Mobile announced that it would roll out multimedia messaging services (MMS) in April of 2003, for instance, KongZhong strengthened its relationship with them by helping China Mobile build part of the MMS infrastructure at no cost. Yang noted: “We understand *guanxi* and use it to our advantage, by building strong relationships with our partners. Differently than our competitors we build trust with our clients and have become known for not just trying to sell and profit.”

NEW SET OF CHALLENGES

2006: A Challenging Year

The WVAS market grew rapidly between 2004 and 2006,¹⁶ averaging an annual growth of 19 percent. By 2006,¹⁷ mobile phone penetration within the Chinese urban population had reached 75–80 percent.³

Having reached \$1.4 billion in 2006, China’s commercial WVAS market was rapidly changing, within an also rapidly evolving China. Market leaders Tom Online, Linktone, Hurray, KongZhong, Tencent, Sina and Sohu held 49 percent of the addressable market,³ with the remainder coming from thousands of small companies that continued to enter the market. U.S.-based companies such as Yahoo and Google also sought to establish partnerships with the country’s largest carrier, China Mobile, in order to offer consumers wireless value-added services such as search tools. (See **Exhibit 8** for more details on the competitive landscape within China’s WVAS market.)

Evolution of WVAS Services

Basic services such as SMS (short messaging service), IVR (instant voice recording), and Ring Tones quickly began to become commodities, forcing companies to rapidly launch more innovative WVAS services in order to maintain levels of profitability (see **Exhibit 2** for the description, and evolution of different types of WVAS services). Over half of KongZhong and Hurray’s revenues derived from more innovative WVAS services, as compared to 10–30 percent for larger players Tom Online and Linktone.

¹⁴ William Barnett, Peter Lorentzen, op. cit.

¹⁵ “Ten Tips for Building *Guanxi* - the Art of Relationships in China,” *PRWEB*, <http://www.productivitygoal.com/PressReleases/release2371.php> (October 8, 2006).

¹⁶ William Bao Bean, Eddie Leung, “China WVAS Report,” *Deutsche Bank*, August 30, 2006.

¹⁷ Ministry of Information Industry, China, <http://english.gov.cn> (November 2006).

Customer Concentration

WVAS companies depended on mobile carriers for distribution and billing of their services, making them susceptible to carriers' policies and partnership terms. The country's main mobile carrier was China Mobile, and its smaller players included China Unicom and China Telecom. The industry was still fragmented at the provincial level. All mobile carriers in China were government controlled.

By 2006 China Mobile had become the world's largest mobile phone carrier, with 300 million subscribers¹⁰ and over \$27 billion in revenues. In April of 2007 the company was ranked as having the fifth strongest global brand in the world, ahead of companies such as Wal-Mart and IBM.¹⁸ Mobile subscriber penetration was of 97 percent in urban regions, and 12 percent in rural areas.¹⁹ The company had transmitted 255 billion SMS messages that year,⁵ and 23 percent of its revenue came from WVAS services. China Mobile held an 80 percent share of the country's MMS (multimedia messaging services) market, 80 percent of WAP (wireless access protocol) services, 75 percent of SMS and Ring Tones, and 60 percent of IVR services.³ (See **Exhibit 2** for a description of WVAS services.)

New Mobile Carrier Policies

Smaller WVAS players' illicit business practices raised concerns in the Chinese government, which in 2006 drove it to start regulating and monitoring the entire industry. Between April and July of that year, China Mobile and other Chinese mobile carriers announced that they would be following the government's guidance of implementing policies targeted directly at WVAS companies—which some market analysts called “erratic”:³

- *Opt-in*: Consumers receiving SMS or WAP solicitations for new WVAS subscriptions would need to confirm twice before being charged. China Mobile would otherwise block all payments to WVAS providers.
- *Single-fee*: WVAS providers could only charge fixed monthly fees for their services, not per-message fees or a combination of fixed and variable fees.
- *Instant messaging*: China Mobile would cancel contracts with all WVAS companies that also offered instant messaging services (Tom Online, Sina, Netease and Tencent).
- *Customer churn*: Cancellation of inactive WVAS accounts after 4, not 8 months.
- *Customer acquisition*: Extension of free service trial periods.

China's leading WVAS companies were directly impacted by these abrupt new mobile carrier policies, suffering a reduction of 10–33 percent in revenues and 10 percent in operating margins (see **Exhibit 9** for estimates). KongZhong was expected to suffer a decrease of 23 percent to its top line, and 13 percent from its operating margin. Although the timing and implementation details of mobile carriers' new policies were not specified, the market had a significant reaction to the announcements, causing WVAS companies' stock prices to fall by up to 50 percent (see **Exhibit 10**).

¹⁸ Source: Millward Brown and the Financial Times, *BRANDZ ranking of the world's Top 100 most powerful brands*, April 23, 2007. (Based on brand's earnings, contribution to the parent business, and the future prospects.)

¹⁹ Dexter Roberts, “China Mobile at Full Speed,” *BusinessWeek Asia*, November 1, 2006.

Re-Splitting the Pie and Disintermediation

By 2006 the value chain of the WVAS industry had matured, with more predictable revenue sharing and fee structures than four years earlier. WVAS service providers netted 55 percent of the \$1.4 billion commercial WVAS market, after sharing revenue streams with its partners in the following proportions:

- 20–70 percent to mobile carriers (transmission charges and revenue sharing)
- 8–10 percent to content providers (revenue share for copyrighted melodies)
- 10 percent to handset manufacturers (revenue share)

Some upstream partners began consolidating and exerting more bargaining power. The top four Chinese music companies, for example, grew in market share and held 50 percent of the music market by 2006. They began to aggressively renegotiate fee structures with WVAS service providers, reducing WVAS company's gross margins for digital music and ringtones from 70 percent in 2003 to 55 percent in 2006.

At the same time, downstream partners such as mobile carriers realized that the WVAS market was lucrative, and began trying to capture a larger slice of the total wireless business. Some of them began bypassing wireless value added service companies altogether, and working directly with media and content companies. On June 19, 2006, mobile carrier China Unicom announced that it was partnering directly with Warner Music, to distribute their music directly to consumers.²⁰ The stock market reacted to the imminent uncertainty elucidated by these partnerships, given that WVAS companies ran on top of the value system of mobile carriers.²¹

Changing Regulations

The offshore WOFE investment model that had previously been endorsed by the Chinese government—and that had ignited the country's entrepreneurial environment—was called into question in early 2006. A new regulation with retroactive effect, 'Circular 75,' imposed restrictions on companies using offshore investment vehicles—which included KongZhong. It established additional restrictions and expanded the definition of which investors had to re-invest proceeds originating from China back into the country:

The State Administration of Foreign Exchange (SAFE) issued Notice 75, which requires PRC residents to register with the relevant local SAFE branch in connection with their establishment or control of an offshore entity established for the purpose of overseas equity financing involving onshore assets or equity interests held by them and direct investment through such an offshore entity in China. The term 'PRC residents' includes not only PRC citizens but also other persons who habitually reside in the PRC for economic benefit. ... PRC residents are required to repatriate into China all of their dividend profits or capital gains from their shareholdings in the offshore entity within 180 days of their receipt of such profits or gains.

The measure did not affect stock prices, but it did affect foreign venture capital firms that had set up offices in the country—since their expected exits from China-based investments would be

²⁰ Xinhua News, "China Unicom to distribute music for Warner Music," *Xinhua Electronics News*, July 3, 2006.

²¹ Dong Xiaochang, op. cit.

compromised. This led many foreign investors to revisit their strategy for China altogether, bringing significant concern to start-up companies that still depended on institutional investors to reach profitability. Since KongZhong was already publicly traded it only felt moderate impact from the new regulations. Furthermore, the regulation was aimed primarily at foreign companies entering the country, such as Google and Yahoo. KongZhong's legal counsel and senior executives held several meetings with the Chinese government, to evaluate whether the company should consider moving its corporate structure onshore. However, in late 2006 the government agreed to revisit 'Circular 75,' after realizing the potential impact that the regulation could have on the country's growth.²²

KongZhong was concerned with policies that were industry-specific, because the government continued struggling to protect consumers from fraudulent business practices within the fragmented WVAS market. Furthermore, China's government sought to oversee the increasing number of foreign companies that had begun trying to reach Chinese consumers through the mobile channel. Yang noted: "The WVAS industry was likely to remain on the front-burner of China's government in the foreseeable future. Its high visibility has brought us more attention than other technology-based industries. KongZhong is more comfortable with new regulations than outsiders appear to be, though, since we keep in good communications with the government and realize that its ultimate goal is to protect Chinese companies and interests."

Lobbying

By late 2006, regulations that would substantially affect the WVAS industry were under discussion by China's government and Ministry of Information. One of the key issues at stake involved mobile carrier and handset manufacturers' control over content positioning in wireless handsets. KongZhong and its competitors began dealing with the government, in order to maximize the industry's profitability and long-term prospects. Yang led KongZhong's lobbying effort: "Our strategy was to explain to the media, consumers, and government that adhering to the carriers' interests [of trying to control the entire value chain] would counter the country's interests of increasing society's productivity through information. The message was that having a free wireless internet and an information policy that promoted diversity would foster innovation and be good for the country." Yang had to rapidly acquaint himself with China's lobbying environment, and begin performing within it:

Lobbying in China meant facilitating communications with the key decision-makers in government. Most decisions were made through a collective decision-making process handled by powerful government executive committees. Company's executives had to lobby themselves rather than hiring intermediaries, given the importance of personal relationships in China. Committee members often vouched for their friends, or companies with which they had direct or indirect affiliations. Success depended upon a company's 'entrepreneurial' ability to reach and convince the key decision makers that the proposition in question was good for China.

By early 2007 KongZhong's lobbying efforts were still ongoing. WVAS companies were at a disadvantage when lobbying, since the opposing interest group was led by carriers, and some

²² U.S.-China Business Council, "Foreign Investment in China," December 21, 2005.

committee members worked for both the carriers and government. Yang stated: “While lobbying, we need to walk the fine line of convincing our most important partners—the carriers—that we are not against them but rather trying to effect changes that would be good for China and the industry.”

KongZhong’s Future Outlook

Despite WVAS companies’ consistent top-line growth, the entire industry’s profitability dropped ten percentage points during 2006. KongZhong’s stock fell from \$15 to \$7 in just three months. Yang described the situation:

By early 2007, the dynamic business environment drove the industry into a critical inflection point. It reminded me of Spencer Johnson’s ‘Who Moved My Cheese?’ parable, where two mice set out to explore a maze in search for more cheese, while the other two were left hungry, angry, and in denial after the cheese they had grown accustomed to feast on had vanished. We knew that we had to transform KongZhong, and began experimenting with new product strategies within the new realities of the WVAS market. We were ready to drive the company through significant change, once we found our new cheese.

In early 2007 KongZhong made some key management changes, including its CFO and VP of marketing, and had the new and experienced team (see **Exhibit 11**) drive the company further through three key changes:

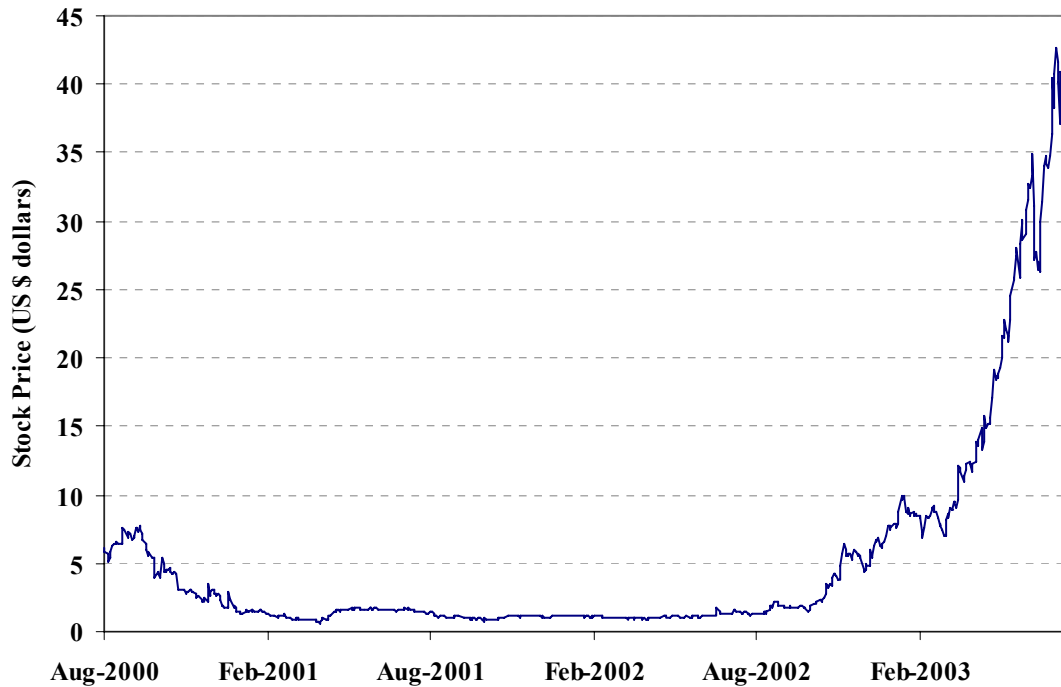
- Strengthening its relationship with mobile carriers
- developing its own mobile phone service brands
- developing more innovative and profitable wireless applications.

Simultaneously, some of the other WVAS companies began to react by (a) evolving partnerships with large traditional TV and print media companies in China (Tom Online, Linktone), (b) starting to develop proprietary content (Sina, Hurray), and (c) working even more closely with carriers, by building and operating their entire WVAS service offerings even under less advantageous revenue sharing terms (some smaller players). However Yang and his team saw a different path and future value proposition for KongZhong:

We believe the mobile services industry will begin evolving into a free Internet model and will see the rise of carrier-independent portals—much like happened in the PC Internet space. Companies like Yahoo, Amazon, and e-Bay gradually surpassed incumbents that bundled paid Internet services with Internet Service Provider (ISP) services, such as America Online (AOL). KongZhong has launched a free wireless Internet portal called Kong.net. Everything on this portal is free—consumers only have to pay for the bandwidth cost. This is very different from the current WVAS model, where consumers pay for the both bandwidth and content separately. We hope to drive the new paradigm for the wireless services industry. We have moved rapidly to execute upon our ambitious and innovative strategy. Consumer feedback so far indicates that we are headed to a high-value market position—call it a delicious and sizable cheese.

Exhibit 1
Sohu's Stock Price Evolution and Significant Events
July 12, 2000 – June 30, 2003

Sohu.com Inc. (NasdaqNM: SOHU) Stock Price



Sohu: Significant Events

- Feb/04/2000 – Sohu.com Inc. files IPO in the amount of \$59.8 million.
- May/01/2000 – Sohu acquires Go2Map; private placement by Warburg Pincus & Co.
- Jul/12/2000 – Sohu.com Inc. offers IPO in the amount of \$59.8 million.
- Sep/13/2000 – Sohu.com announces acquisition of ChinaRen.com.
- Oct/18/2000 – Sohu.com closes acquisition of ChinaRen.com; transaction size: \$23.35 million.
- Jul/09/2001 – Officer/director changes announced for Sohu.com Inc.
- Aug/10/2001 – Sohu.com Inc. files a shelf registration in the amount of \$12.2 million.
- Aug/26/2002 – SOHU launches online securities trading services.
- Jun/12/2003 – Yao Ming Wireless Services launches online with Sohu and MIG.
- Jul/08/2003 – Sohu quadruples revenues in second quarter 2003.

Source: SEC Filings; Capital IQ.

Exhibit 2 Carrier's Technology Platforms, for WVAS

Technological Infrastructure, 2002

In 2002 mobile carriers in China were enabled to deploy 2G, or second generation WVAS services (Wireless Value Added Services), which included short messaging (SMS) and ring tones. Carriers had begun upgrading their networks to enable the roll-out of later-generation, or 2.5G WVAS services. A more advanced infrastructure (3G) was starting to be implemented in mobile carriers in Japan and some European countries, enabling new services such as music, pictures, search tools, television movies, sports, and print functionalities.

Technological Infrastructure, 2005–2006 Dynamics

Carrier Infrastructure	Status of Carrier Infrastructure, 2005	WVAS Service	Market Share (2005)	Gross Margins (2006)
2G (second generation)	Widely available	Short Messaging Service (SMS)	49%	60%
		Instant Voice Recording (IVR)	16%	30%
		Ring Tones	4%	30%
2.5G (second generation "and a half")	Available within China's 4 largest cities: Beijing, Shanghai, Guangzhou, and Shenzhen	Wireless Access Protocol (WAP)	20%	80%
		Multimedia Services (MMS)	9%	50%
		Wireless Games (using Java or BREW)	2%	n/a
3G (third generation)	Very early stage of roll-out; high carrier infrastructure investment requirement	Enriched content applications	-	-
		Faster wireless internet services	-	-
		Advanced wireless games	-	-
		Search and Global Positioning Services (GPS)	-	-
4G (fourth generation)	early stage of conception	TBD	-	-

Gross margins for WVAS companies varied depending on the level of commoditization of each service (e.g., 2G versus 2.5G), and on how many companies were 'splitting the pie.' The market share of 2.5G WVAS services (versus 2G) increased from 15 in early 2004 to 31 percent in 2005—and was expected to grow to 35 percent of total WVAS revenues by 2010. The volume of melodies and music downloads made through wireless handsets, for example, was expected to increase by around 60 percent during 2007 and 2008, given the expected 3G network upgrade. As such, WVAS companies sought to continuously evolve its offerings in order to benefit from higher profit margins and maximize its relevance to mobile carriers.

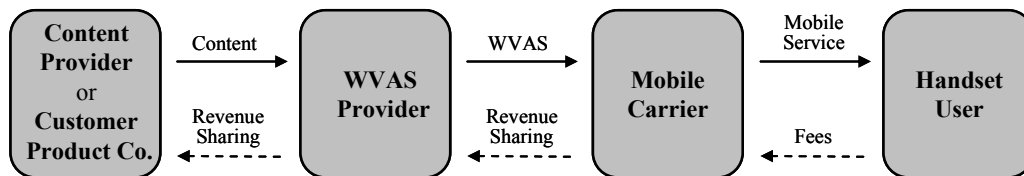
Note: (*) In 2006 China Mobile had not finished enabling its billing infrastructure for full 2.5G deployment.
Sources: SEC Filings; Company Data; Kit Low, James Mitchell, and Ada Ho, op. cit.; Dong Xiaochang, op. cit.

Exhibit 3

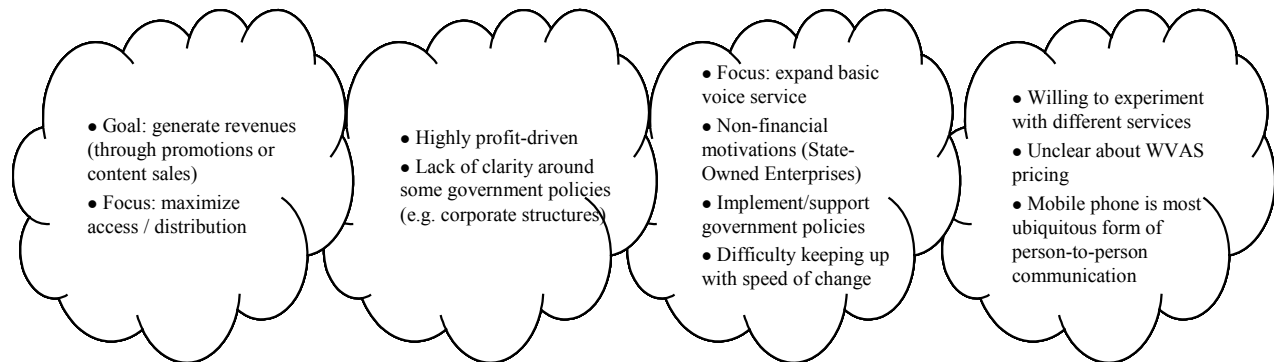
WVAS Value Chain and Key Players, 2002

Content providers would first provide digital content specifically to WVAS, in exchange for a content fee. WVAS service providers would then distribute services through mobile carriers, or carriers, and get paid through prenegotiated revenue sharing agreements. Finally, carriers would brand, market, and distribute WVAS services to end users, in exchange for monthly or per-transaction fees that are billed together with the mobile phone account. Some WVAS providers also negotiated revenue sharing agreements with handset manufacturers, in exchange for premier positioning of their services on handsets' user interfaces.

WVAS Value Chain



WVAS Value Chain: Dynamics & Motivations



Main Players in WVAS Market, 2002

Digital Content Providers

- Olarks Mobile Entertainment
- Xiamen Index
- Beijing Zhongbiaoxin Netwk.
- Namco
- Gamevil
- Superscape

Consumer Product Companies

- Movies (e.g. *The Lord of the Rings*)

WVAS Service Providers

- KongZhong
- Tom Online
- Linktone
- Hurray!
- Sina
- Sohu.com
- Tencent

Mobile Carriers

- China Mobile
- China Unicom
- China Telecom

Sources: Interviews with KongZhong; China's Ministry of Information Industry; Kit Low, James Mitchell, and Ada Ho, op. cit.

Exhibit 4 Models for Foreign Investments in China

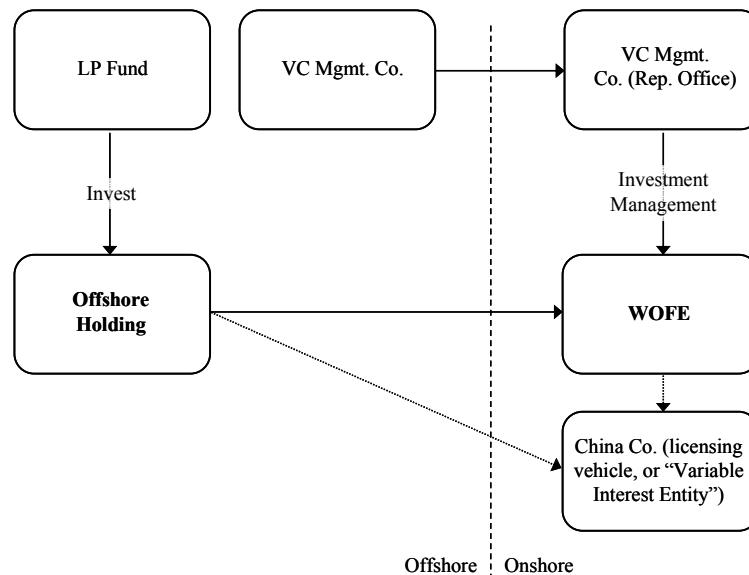
Short History

Chinese regulations evolved slowly starting in the 1980s, and by 1999 created a clearer model for technology-based companies to attract foreign investment. The Chinese government had legalized private enterprises in 1988, corporations in 1994, and holding companies in 1995. In 2000, the three types of business structures that allowed for foreign investment in the People's Republic of China were relatively rigid, given their relatively recent creation. One such business structure, Wholly Owned Foreign Enterprises (WOFEs), was defined as companies subscribed solely by foreign investors.

The main regulatory change took place in 1996, as Sohu began using an offshore investment vehicle to fund its China-based WOFE, as a means of avoiding China's foreign investment restrictions in the telecommunication and Internet industries. Companies like UTStarcom, Sina, Netease and EachNet soon followed suit. Sohu's pioneering of this model actually risked breaking Chinese laws. However the government gradually opened sectors to using vehicles that allowed foreign investors to realize returns through exits, by means of WOFEs using offshore investment vehicles. By 2003, 65 percent of new companies receiving funding in China used the WOFE structure.

WOFEs often established subsidiaries that were mostly owned by Chinese nationals, called 'licensing vehicles,' in order to acquire licenses that enabled them to operate in spite of such restrictions. Subsidiaries had significant limitations regarding their breadth of offerings and their selling of shares to foreigners—to different degrees depending on the industry. In 2003, for instance, companies in the Internet and telecommunications industries could only be 50 percent foreign-owned.

Model of WOFEs with Offshore Capital Structures

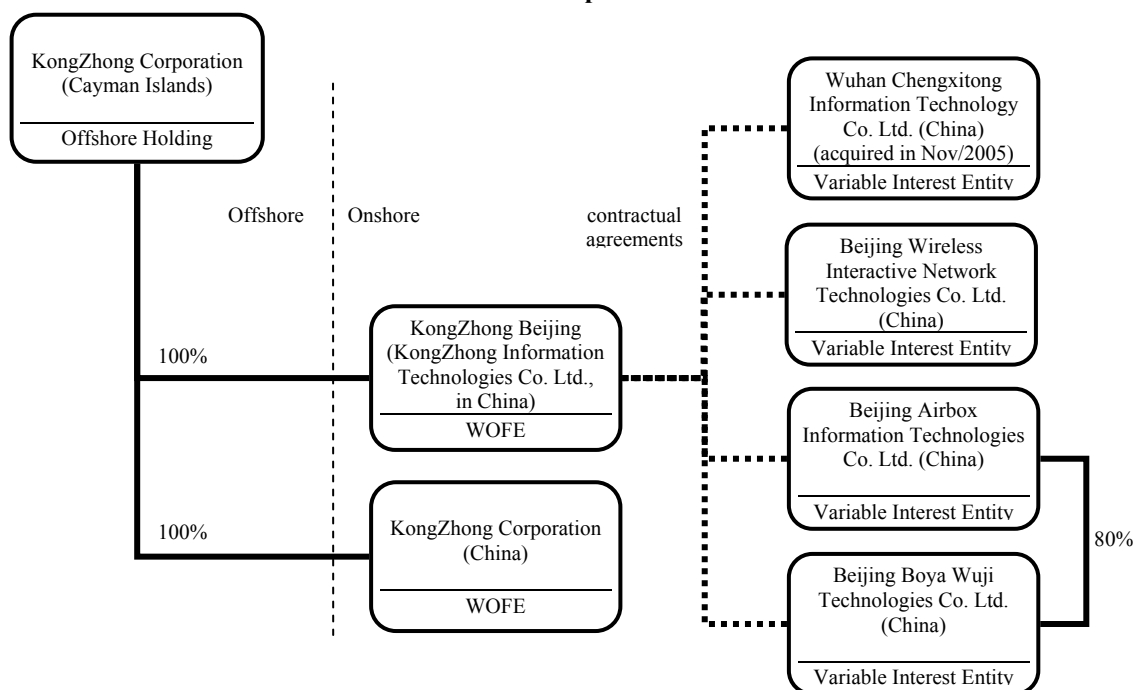


Sources: US-China Business Council, op. cit.; Sohu.com 10-K SEC Filing, 2006.

Exhibit 5
KongZhong's Corporate Structure
February 28, 2006

Nick Yang described KongZhong's corporate structure: "We incorporated KongZhong in the Cayman Islands as an offshore limited liability company. KongZhong Corporation is the entity that received foreign investments, issued options to employees, and that would eventually go public. Most business in China is conducted through a WOFE (Wholly Owned Foreign Enterprise), or KongZhong's wholly owned subsidiary called KongZhong Beijing. Since it is a foreign-invested company and Chinese laws restrict foreign companies from providing value-added telecommunications services, all such services are provided through four different companies in China: Wuhan Chengxitong, Beijing AirInBox, Beijing Boya Wuji, Beijing WINT. The four China-based licensed VIEs (Variable Interest Entities) are contractually bound to KongZhong's WOFE and are entirely held by KongZhong's founders, relatives, and employees, since they are Chinese citizens. Payroll is distributed between the WOFEs and the China-based VIEs, and was defined based on tax implications and employees' roles."

Illustration of Corporate Structure*



Note (*): WOFEs are wholly owned foreign entities and VIEs are variable interest entities (also referred as licensing vehicles). Ownership percentages not illustrated in the diagram are held by China-based individuals. Some additional corporate entities were omitted from the diagram for simplicity: (a) Sharp Edge Group Limited, a second offshore holding entity (held in the British Virgin Islands) that was acquired with its corresponding WOFEs in January of 2006, (b) Tianjin Mammoth Technology Co. Ltd., a company acquired in June of 2005 that was made a China-based subsidiary fully owned by Beijing Wireless Interactive Network Technologies Company (5%), and Beijing Airbox Information Technologies Company (95%), and (c) other subsidiaries offering related advertising and entertainment services. Sources: KongZhong's internal materials, February 28, 2006; interview with President/CTO Nick Yang in March 1, 2007.

Exhibit 6
Main China-Based Technology Company IPOs
(January 1990 – March 2004)

Company Name	Industry	IPO Date	IPO Amount (U\$M)	Stock Exchange / Ticker
Qiao Xing Universal Telephone Inc.	Telecom equipment	Feb/16/1999	\$ 8.8	NasdaqNM:XING
AsiaInfo Holdings Inc.	Internet	Mar/2/2000	\$ 120.0	NasdaqNM:ASIA
Sina Corp.	Internet	Apr/12/2000	\$ 68.0	NasdaqNM:SINA
Netease.com Inc.	Internet	Jun/29/2000	\$ 69.8	NasdaqNM:NTES
Sohu.com Inc.	Internet	Jul/12/2000	\$ 59.8	NasdaqNM:SOHU
China Telecom Corp. Ltd.	Telecom services	Nov/6/2002	\$ 1,362.0	SEHK:728
Ctrip.com International Ltd.	Online travel	Dec/9/2003	\$ 75.6	NasdaqNM:CTRP
Linktone Ltd.	WVAS	Mar/3/2004	\$ 86.0	NasdaqNM:LTON
TOM Online Inc.	WVAS	Mar/5/2004	\$ 175.0	NasdaqNM:TOMO
Shanda Interactive Entertainment Ltd.	Entertainment Software	May/12/2004	\$ 152.4	NasdaqNM:SNDA

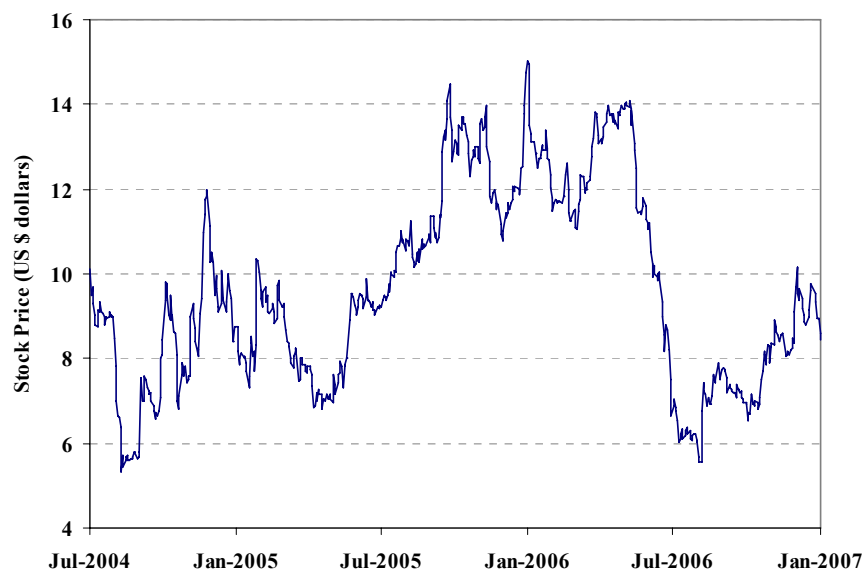
Source: SEC Filings; Capital IQ.

Exhibit 7 KongZhong's Financials & Stock Prices

KongZhong's Financials

	Dec-31-2002	Dec-31-2003	Dec-31-2004	Dec-31-2005	LTM Sep-30-2006
Total Revenue	0.3	7.8	48.0	77.8	105.2
<i>Revenue Growth (%)</i>	<i>NA</i>	<i>2,498.1%</i>	<i>514.5%</i>	<i>62.1%</i>	<i>45.9%</i>
Gross Profit	0.2	5.5	32.3	46.4	58.9
<i>Gross Margin (%)</i>	<i>57.9%</i>	<i>70.7%</i>	<i>67.3%</i>	<i>59.7%</i>	<i>56.0%</i>
EBITDA	-0.7	2.7	21.1	27.1	26.6
<i>EBITDA (%)</i>	<i>(226.2%)</i>	<i>34.5%</i>	<i>43.9%</i>	<i>34.8%</i>	<i>25.3%</i>
Net Income	-0.7	2.4	20.4	22.2	27.3
<i>Net Income (%)</i>	<i>(246.5%)</i>	<i>30.8%</i>	<i>42.5%</i>	<i>28.5%</i>	<i>25.9%</i>

KongZhong (NasdaqNM: KONG) Stock Price



KongZhong: Significant Events (Jul/2004 – Jan/2007)

- Dec/2004 – KongZhong invests \$0.5 million in social networking company eFriendsNet.
- Jun/2005 – KongZhong acquires Tianjin Mammoth Technology Co. Limited.
- Jul/2005 – China Mobile requests all dormant WAP accounts to be closed.
- Mar/2005 – KongZhong acquires Beijing Wireless Interactive Technology Co., for \$1.7 million.
- Jan/2006 – KongZhong acquires Sharp Edge Group Limited, for \$35 million.
- Jan/2006 – KongZhong sells eFriendsNet Entertainment Corp, for \$20 million.
- May/2006 – Strategic partnerships with Dangdang, Soufun.com, He Xun, and eNet.
- May–Jun/2006 – China Mobile announces major policies affecting fees and customer churn.
- Jul/2006 – KongZhong announces headcount reduction.
- Aug/2006 – Hurray and KongZhong discuss possible WVAS merger.

Source: SEC Filings; Capital IQ.

Exhibit 8

China's WVAS Market: Competitive Landscape

Type of Competitor	WVAS Company (symbol)	IPO Filing Date	Revenues (USM; Dec/06)	Gross Profit (USM; Dec/06)	Net income (USM; Dec/06)	Notes on Services Offered (2006), and Acquisitions
<i>Pure-play WVAS company (90-100% of revenues)</i>	Tom Online (TOMO)	13-Feb-04	168	63	29	- Also offers advertising services (7% of revenues) - Acquired PC games company Indiagames 30% of 2.5G WVAS market share 25% of 2005 revenues from 2.5G WVAS services (vs. from 2G).
	MTone Wireless	19-Apr-04	24 ⁽¹⁾	16 ⁽¹⁾	2 ⁽¹⁾	Withdrew IPO process in August of 2004
	Linktone (LTON)	17-Feb-04	77	48	7 ⁽²⁾	12% of 2005 revenues from 2.5G WVAS services (vs. from 2G).
	Hurray (HRAY)	12-Jan-05	70	25	6	- Acquired music companies recently: Freeland Music, and Huayi Brothers Music 43% of 2006 revenues from 2.5G WVAS services (vs. from 2G).
	KongZhong (KONG)	04-Jun-04	107	59	25	- Acquired 2G competitor Sharp Edge Group in 2005 (SMS) - Acquired mobile game company Tianjin Mammoth in 2005 36% of 2.5G WVAS market share 73% of 2005 revenues from 2.5G WVAS services (vs. from 2G).
<i>Hybrid WVAS company (20-45% of revenues, vs. internet portals)</i>	Sina (SINA)	12-Apr-00	213	135	40	43% of revenue from WVAS, and 54% from advertising
	Sohu (SOHU)	10-Jul-00	134	89	26	23% of revenue from WVAS, and 68% from advertising
	Tencent (TCEHF)	04-Jun-04	2,831	2,005	1,075	23% of revenue from WVAS, 68% from internet services, and 8% from advertising
<i>Companies Diversifying into WVAS Services</i>	The9 Ltd (NCTY)	30-Jun-05	128	60	40	PC Game company entering the WVAS market
	Shanda (SNDA)	02-Apr-04	214	139	69	PC Game company entering the WVAS market
	Netease (NTES)	27-Mar-00	280	233	161	PC Game company entering the WVAS market
	Rock Mobile	n/a	-	-	-	Wireless licensed music
	Maitian Music Label	n/a	-	-	-	- Chinese music company building its own WVAS capabilities (building the Tailenet WVAS platform) - Company backed by Softbank

Notes: (1) Numbers only available for 2004; (2) Net income impacted by an unusually high SG&A of \$34.5 million.
Sources: SEC Filings; CapitalIQ.

Exhibit 9

Impacts of Chinese Carriers' Main Policy Changes

Mobile Carriers' Main Policy Changes

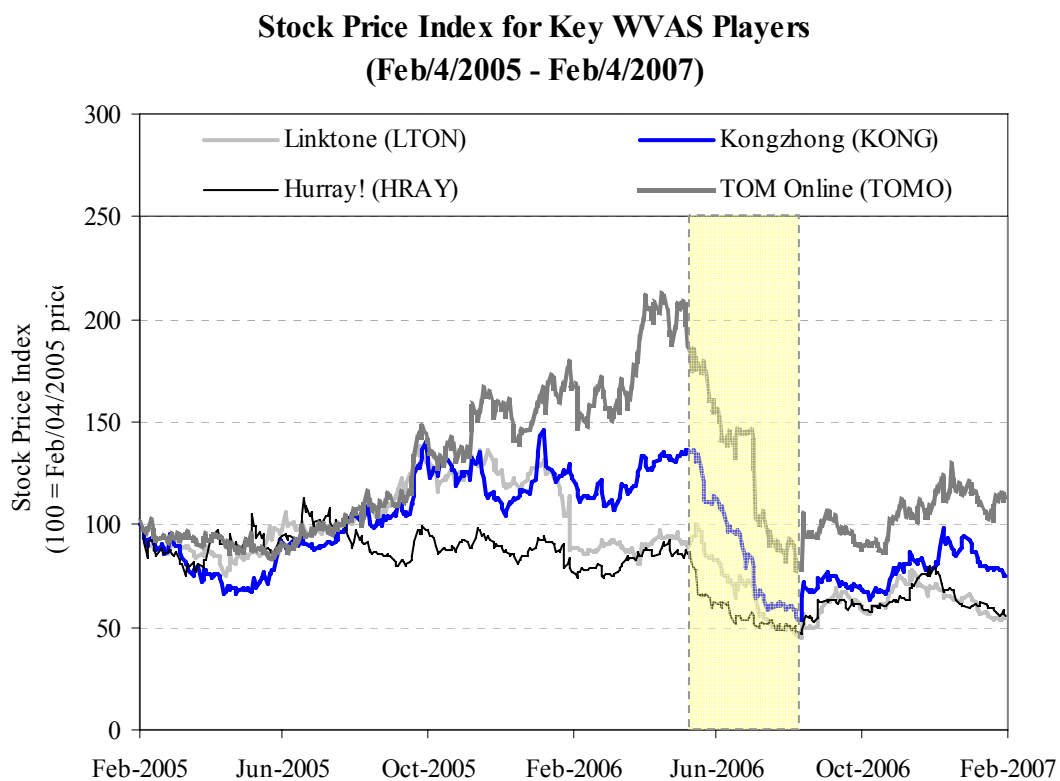
Timing	Mobile Carriers	Actions Taken and Policies, by Mobile Carrier	Impact
4Q2004	China Mobile	To prevent WVAS operators spamming with SMS, China Mobile instituted a policy whereby it required recipients of SMS and WAP based solicitations for sales and services to double confirm acceptance before recognizing the solicitations as legitimate.	This policy has been implemented.
2Q2005	China Unicom	China Unicom increased its revenue share with SMS providers from 10% to 20%.	This policy has been implemented.
3Q2005	China Mobile	China Mobile migrated to a new billing platform, MISC, resulting in WVAS providers losing revenue that they would otherwise have been able to recognize.	This policy has been implemented.
	China Mobile	China Mobile requested all dormant WAP accounts to be closed, resulting in a sharp decline in WVAS operators' WAP subscription revenue.	This policy will last six months from July 1, 2006. We model for this policy to continue affecting WVAS providers through the end of 2006.
2Q2006	China Unicom	China Unicom set an upper limit on how much a WVAS operator could charge per SMS and per subscriber.	No details on timing and method of implementation were given.
	China Mobile	China Mobile announced steps to better enforce its double confirmation policy.	No details on timing and method of implementation were given.
	China Mobile	China Mobile proposed prohibiting WVAS providers from charging for subscriptions while also charging per message sent; China Mobile instead proposed the providers charge a flat monthly fee.	We believe this policy will likely be implemented, and have factored the impact into our forecasts for TOMO and KONG.
	China Mobile	China Mobile requested its provincial subsidiaries not to renew licenses to those WVAS operators offering instant messaging services, including Sina, Tencent, Netease and TOMO.	WVAS operators often hold multiple licenses, hence we do not believe this would have immediate impact on them.

Expected Top and Bottom-Line Impacts of 2006 Policy Changes to WVAS Companies

WVAS Company	Dependence on China Mobile (% of revenues)	Expected Impact in Revenues	Expected Impact in Operating Margins
Tom Online	94%	-33%	-12.6%
Linktone	77%	-22%	-8.3%
Hurray	62%	-10%	-8.9%
KongZhong	77%	-23%	-13.2%
Sina	68%	-2%	1.5%
Sohu	53%	-2%	3%

Source: Kit Low, James Mitchell, and Ada Ho, op. cit.

Exhibit 10
Relative Stock Price Comparison of Key WVAS Players



Source: SEC filings; CapitalIQ.

Exhibit 11

KongZhong Team Member Profiles, January 2007

Nick Yang, Cofounder, President, CTO, and Director

- Nick Yang has been director, president and CTO of KongZhong since May 2002. Prior to establishing KongZhong, Yang served as vice president of technology and chief technology officer of Sohu.com from October 2000 to March 2002. In June 1999 he cofounded ChinaRen and served as CTO until October 2000, when ChinaRen merged with Sohu.com. He holds a Master's degree in electrical engineering from Stanford University and a Bachelor's degree from the University of Michigan.

Zhou Yunfan, Cofounder, Chairman and CEO

- Zhou Yunfan Zhou has been chairman, CEO and director of KongZhong since its inception, in May 2002. Prior to establishing KongZhong, Zhou served as executive vice president and general manager of Sohu.com, an Internet portal company, from October 2000 to March 2002. In June 1999 he cofounded ChinaRen, an Internet portal and community company, and served as COO and general manager until October 2000, when ChinaRen merged with Sohu.com. He holds a Master's degree in electrical engineering from Stanford University and a Bachelor's degree in electronic engineering from Tsinghua University.

Hanhui Sun, CFO

- Hanhui Sun has been an independent director of KongZhong since July 1, 2005. Mr. Sun is currently a deputy general manager of the Associated Container Business of Maersk (China) Shipping and is responsible for financial reporting and for the operation of several subsidiaries. Previously, he acted as the financial controller of SouFun.com, a real estate portal in China, from 2004 to 2005. From 1995 to 2004, Sun worked in KPMG's auditing practice, including 8 years at KPMG in Beijing, China, where he was an audit senior manager, and 2 years at KPMG in Los Angeles. Sun earned a Bachelor's degree from the Beijing Institute of Technology in 1993, majoring in business administration. He is a Certified Public Accountant in China.

Kingchuen Wong, Senior Vice President of Corporate Development & Investor Relations

- Kingchuen Wong has been vice president of corporate development of KongZhong since 2004. Prior to that, she was director of corporate development. Before joining KongZhong, she was a director of business development at TOM Online from 2003 to 2004. She was an associate at Softbank Asia Infrastructure Fund and Softbank China May 2000 to 2003. Wong holds a Bachelor's Degree in Telecommunications from Beijing Jiaotong University.

Hai Qi, Senior Vice President of Sales & Marketing

- Hai Qi has been senior vice president of sales and marketing of KongZhong since October 2004. Before joining KongZhong Mr. Qi was a vice president at ASPIre Technologies and the chief representative in its Beijing office. ASPIre Technologies is a leading mobile data solutions provider in China whose main product, Mobile Information Service Center (MISC), is used by China Mobile. Qi was in charge of the overall management of ASPIre's business in northern China, including its sales organization, and the operation and management of the technology platform upon which MISC is run. Prior to ASPIre Technologies, Mr. Qi was the chief representative in the Beijing office of Shanghai Intrinsic Computer Company, a predecessor company of Linktone, where he was responsible for building partner relationships with mobile carriers and directing the sales operation for the northern China region. Qi graduated from Tianjin University with a degree in industrial engineering.